

Eternal Limited

ETERNAL | NSE/BSE | Large Cap | Food Delivery & Quick Commerce

Report Date: 29-Jul-2025 | Analyst: Gopika Gopan

CMP

Rs. 306

Target: Rs. 337

Upside: +10.1%

12 Months

HOLD

Company Data		Shareholding (%)			
Market Cap (Rs. cr)	2,95,735	Category	Q3FY25	Q4FY25	Q1FY26
52 Week High – Low (Rs.)	314 – 190	Promoters	0.0	0.0	0.0
Enterprise Value (Rs. cr)	2,94,166	FII	47.3	44.4	42.3
Outstanding Shares (cr)	965.0	MFs/Institutions	20.5	23.6	26.6
Free Float (%)	71.9	Public	8.0	8.5	7.6
Dividend Yield (%)	-	Others	24.1	23.6	23.5
6M Avg Volume (cr)	6.1				
Beta	1.0	Price Performance	3 Month	6 Month	1 Year
Face Value (Rs.)	1.0	Absolute Return	32.1%	44.8%	39.7%
		Absolute Sensex	3.0%	7.9%	2.5%

COMPANY OVERVIEW

Eternal Limited (formerly Zomato) is India's leading food delivery and quick commerce platform. The company operates across food delivery (Zomato), quick commerce (Blinkit), and restaurant supply (Hyperpure) verticals. With a strong technology backbone and deep logistics network, Eternal has established itself as the dominant player in India's online food and grocery delivery ecosystem.

The company's strategic pivot towards quick commerce through Blinkit represents a significant growth opportunity. Blinkit's dark store network, having crossed 1,544 stores in Q1FY26, is on track to reach 2,000 stores by December 2025, underpinning strong volume growth potential. The transition from a marketplace model to inventory ownership in quick commerce is expected to drive meaningful margin expansion over the next 2-3 quarters.

KEY HIGHLIGHTS

- NOV growth in food delivery edged lower to 13% YoY in Q1FY26 but is expected to stabilise and exceed 15% for FY26, with potential upward trend towards 20% in FY27.
- Blinkit witnessed a remarkable 127% YoY growth in NOV, driven by 123% increase in average monthly transacting customers, demonstrating strong quick commerce momentum.
- Certain cities have achieved 2.5%+ adjusted EBITDA margin in quick commerce, validating the company's long-term guidance of 5-6% margins at maturity.
- Blinkit added 243 new stores in Q1FY26 to reach 1,544 stores, with target of 2,000 stores by December 2025, providing strong volume growth visibility.
- Transition from marketplace to inventory ownership model expected to deliver ~1 percentage point margin expansion over the next 2-3 quarters.

FINANCIAL SUMMARY (ANNUAL)

Y.E. March (Rs. cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Sales (Rs. cr)	7,079	12,114	20,243	35,020	54,632
Growth (%)	68.9	71.1	67.1	73.0	56.0
EBITDA	-1,210	42	637	1,248	3,575
EBITDA Margin (%)	-17.1	0.3	3.1	3.6	6.5
PAT Adjusted	-971	351	527	927	2,643
PAT Growth (%)	-35.5	-136.1	50.1	75.9	185.2

Y.E. March (Rs. cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Adj. EPS (Rs.)	-1.2	0.4	0.6	1.0	2.7
EPS Growth (%)	-28.1	-134.2	46.3	60.1	185.2
P/E (x)	N/A	N/A	335.8	325.2	114.1
P/B (x)	N/A	N/A	6.4	9.6	8.9
EV/EBITDA (x)	N/A	N/A	302.2	240.3	84.0
ROE (%)	-5.0	1.7	1.7	3.0	7.8
D/E (x)	0.0	0.0	0.1	0.1	0.1

CHARTS & TRENDS



QUARTERLY FINANCIALS (CONSOLIDATED)

Rs. cr	Q1FY26	Q1FY25	YoY Growth (%)	Q4FY25	QoQ Growth (%)
Sales	7,167	4,206	70.4	5,833	22.9
EBITDA	115	177	-35.0	72	59.7
EBITDA Margin (%)	1.6	4.2	-260bps	1.2	+40bps
EBIT	-199	28	-810.7	-215	7.4
PBT	88	239	-63.2	97	-9.3
Reported PAT	25	253	-90.1	39	-35.9
Adj. EPS (Rs.)	0.03	0.3	-90.1	0.04	-35.9

CHANGE IN ESTIMATES

Year / Rs. cr	Old FY26E	Old FY27E	New FY26E	New FY27E	Chg. FY26E	Chg. FY27E
Revenue	30,738	41,743	35,020	54,632	+13.9%	+30.9%
EBITDA	1,686	3,959	1,248	3,575	-25.9%	-9.7%

Year / Rs. cr	Old FY26E	Old FY27E	New FY26E	New FY27E	Chg. FY26E	Chg. FY27E
EBITDA Margin (%)	5.5	9.5	3.6	6.5	-190bps	-300bps
Adj. PAT	1,460	3,254	927	2,643	-36.5%	-18.8%
EPS (Rs.)	1.6	3.6	1.0	2.7	-40.4%	-23.7%

OUTLOOK & VALUATION

Eternal Limited is poised for long-term growth and improved profitability, driven by its strong market position and growth prospects in the quick commerce business (QCB). The company's focus on inventory ownership and margin improvement is expected to drive profitability. Although the industry outlook remains competitive, the company's strategy and long-term growth objectives, along with its strong management team, are expected to drive future growth.

However, the stock's significant run-up in price and rich valuations limit the upside potential from current levels. Therefore, we downgrade our rating on the stock to HOLD from BUY with a revised target price of Rs. 337, based on 6x FY27 price/sales. At current market price, the stock trades at 325x FY26E and 114x FY27E earnings, implying rich valuations that limit near-term upside.

KEY RISKS

- Intense competition from Swiggy Instamart, Zepto, and BigBasket in quick commerce could pressure margins and market share.
- Regulatory changes related to gig worker regulations or food delivery pricing could impact the business model.
- Continued heavy investment in store expansion and technology may weigh on near-term profitability.
- Demand normalization in quick commerce post the initial hypergrowth phase could disappoint investors.
- Foreign investor shareholding decline (from 47.3% to 42.3% over 3 quarters) may indicate institutional caution.

RECOMMENDATION SUMMARY (LAST 3 YEARS)

Date	Rating	Target (Rs.)
11-Aug-22	BUY	69
17-Feb-23	BUY	60
08-Aug-23	BUY	114
13-Feb-24	BUY	174
16-May-24	BUY	220
28-Oct-24	BUY	284
30-Jan-25	BUY	254
29-Jul-25	HOLD	337

INVESTMENT RATING CRITERIA

Rating	Large Caps	Mid Caps	Small Caps
Buy	Upside above 10%	Upside above 15%	Upside above 20%
Accumulate	–	Upside 10%–15%	Upside 10%–20%
Hold	Upside 0%–10%	Upside 0%–10%	Upside 0%–10%
Reduce/Sell	Downside > 0%	Downside > 0%	Downside > 0%

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